

MGT 816 · The Private Firm CFO

So2 Cap Table Lab — Lab Solutions

Posted after class · all three sections

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Lab Part 1 — the Seed round

Angels invest **\$1,000,000** at **\$4,000,000 pre-money**. In the workbook, complete the Seed block: (a) post-money; (b) % to investors; (c) new preferred shares; (d) price per share; (e) each founder's post-round %. Then write the journal entry.

Timebox: **11 min • pairs**

Deliverable: filled shaded cells + JE on the handout line

Hint: $Z = S_0 \div (1 - x)$
 $S_0 = 2,000,000$

Part 1 solution

Completed cap table — Seed \$1.0M on \$4.0M pre

Holder	Common	Seed Pref	Total	%
Each founder (×5)	400,000	—	400,000	16.00%
Founders subtotal	2,000,000	—	2,000,000	80.00%
Angel investors	—	500,000	500,000	20.00%
Total	2,000,000	500,000	2,500,000	100.00%

Boxed figures

Post-money	\$5,000,000
$X = I / \text{Post}$	20.0%
$Z = S_0 / (1 - x)$	2,500,000
Y (new preferred)	500,000
$\text{PPS} = I / Y$	\$2.00

JE: Dr Cash \$1,000,000 / Cr Preferred Stock — Series Seed \$1,000,000

Lab Part 2 — Series A + the pool

RAVIGA Capital leads the Series A: **\$5,500,000** at **\$14,500,000 pre-money**, requiring an unallocated option pool = **10.0%** of post-round fully-diluted shares (carved from the pre-money). Complete the Series A block: (a) post-money; (b) VC %; (c) FD total Z; (d) VC shares & PPS; (e) pool shares; (f) post-round % for founders, angels, VC, pool. Then: journal entries for the round and for pool creation.

Timebox: **13 min · pairs** (same pairs as Part 1)

Hint: $Z = S_1 \div (1 - x_a - \text{pool}\%)$
 $S_1 = 2,500,000$

Part 2 solution

Post-A cap table — \$5.5M on \$14.5M pre · 10% pool

Boxed figures

Holder	Common	Seed	Series A	Total	%		
Each founder (×5)	400,000	—	—	400,000	10.00%	Post-money	\$20,000,000
Founders subtotal	2,000,000	—	—	2,000,000	50.00%	VC % = I / Post	27.5%
Angel investors	—	500,000	—	500,000	12.50%	Z	4,000,000
RAVIGA (VC)	—	—	1,100,000	1,100,000	27.50%	VC shares / PPS	1,100,000 / \$5.00
Option pool	—	—	400,000	400,000	10.00%	Pool shares	400,000
Total	2,000,000	500,000	1,500,000	4,000,000	100.00%	Eff pre / SE after A	\$12.5M / \$6,500,500

Round: Dr Cash \$5,500,000 / Cr Preferred — Series A \$5,500,000 · Pool creation: no entry

The dilution ledger: % down, value up ★

Founders' position	Formation	Post-Seed	Post-A
Ownership %	100%	80.0%	50.0%
Implied value	~\$0	\$4.0M	\$10.0M

Dilution is the price of growth — judge the value of your smaller slice.

Three CFO levers:

- pre-money
- round size
- pool size

Implied value prices common at the preferred PPS — an upper bound. Why? 409A + liquidation preferences (S05 / S11).